AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Life Time Group Holdings

NYSE : LTH · Mature-Company DCF

22 October 2026 · the qualitative

$40.76

$9.05B mkt cap · 222M sh · $232M cash, $1.52B debt · BB- credit

THE CENTRAL QUESTION

Is Life Time a premium wellness platform with durable luxury economics — or a leveraged real estate vehicle whose positive FCF depends on perpetual $400M/year sale-leasebacks?

LTH trades at $40.76 ($9.1B mkt cap) on TTM revenue $3.0B and Adj EBITDA $824M (27.5% margin). 190+ premium athletic clubs, 891K members, 12-14 luxury openings/yr. But FY25 FCF $206M required $400M of sale-leaseback proceeds offsetting $870M capex — ex-SLB, operating FCF is zero. Bear: capital recycling unsustainable, leveraged real estate vehicle. Bull: luxury wellness category-of-one, SLB is smart financing. Today's price requires bull-case execution. Five scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -65.8% · 75% at or below spot

$21.44 expected fair value today

-47.4% vs spot $40.76

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$32.14	$48.26	$72.58	$109.31
0.79× spot	1.18× spot	1.78× spot	2.68× spot

WEIGHTING RATIONALE

Ultra Bear 8% Recession plus leverage: revenue declines and the sale-leaseback engine reverses.

Bear 12% SLB-as-capital-recycling thesis structurally coherent but lacks traction vs FY24/25 execution.

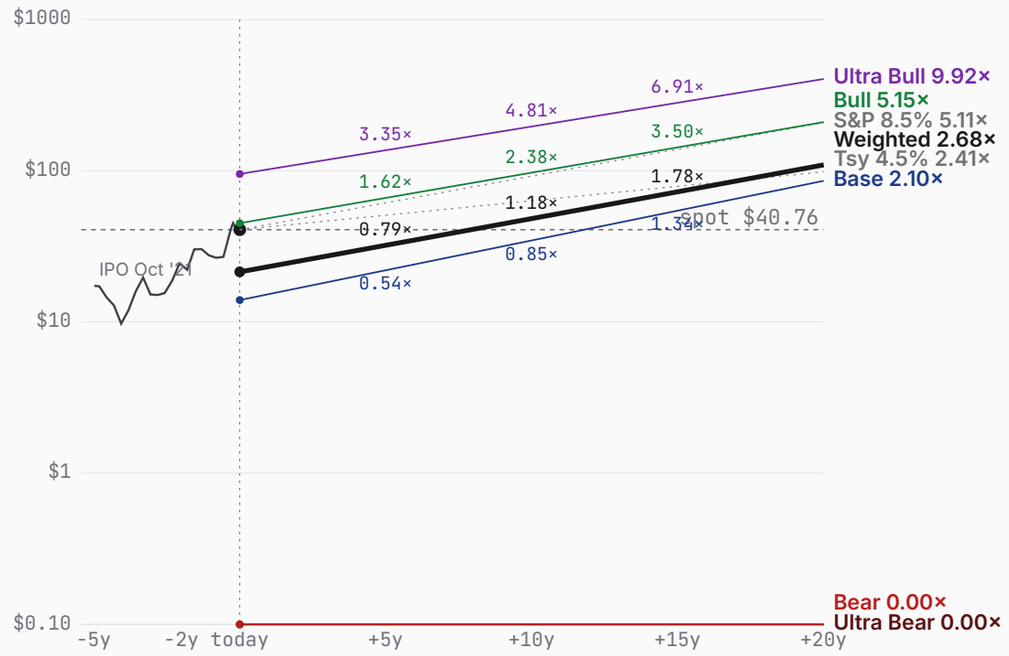
Base 55% Modal outcome: LTH executes guidance, leverage stays in target.

Bull 20% Luxury wellness platform compounds; category-of-one; multiple expansion requires execution AND re-rating.

Ultra Bull 5% 250+ clubs by 2030 + ARPU $6,500 + SLB self-funded + multiple re-rates to 15x EV/EBITDA.

Bull (20%) + Ultra Bull (5%) together contribute $13.76 — 64% of the $21.44 expected value despite 25% combined probability. Today's spot ($40.76) sits 90% above the weighted expected; the forward-weighted value reaches spot in about 8 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$0.00	$0.00	$13.96	$45.00	$95.14
-100.0% vs spot	-100.0% vs spot	-65.8% vs spot	+10.4% vs spot	+133.4% vs spot
CAGR -3.4% WACC 11.5% SLB $0.6B Prob 8%	CAGR +5.1% WACC 11.0% SLB $0.9B Prob 12%	CAGR +7.8% WACC 9.5% SLB $1.7B Prob 55%	CAGR +9.8% WACC 8.0% SLB $2.0B Prob 20%	CAGR +12.0% WACC 7.5% SLB $3.0B Prob 5%
Leverage bites; deep decline.	Capital recycling, not earnings.	Premium platform, leveraged structure.	Luxury wellness platform compounds.	Luxury category-of-one; 15x re-rate.

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Life Time Group Holdings scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 8% Bear 12% Base 55% Bull 20% Ultra Bull 5% · Weighted expected $21.44 (-47.4% vs spot)

ULTRA BEAR $0.00

-100.0% vs spot

Probability 8%

Leverage bites; deep decline.

WHY 8%

The deepest-failure tail, split from the bear so the downside is not one undifferentiated bucket (the book-wide convention). 8% weight reflects a genuine recession-plus-leverage scenario for a company whose enterprise obligations approach $4B; distinct from the bear (flat-to-soft, equity ~$0) in that revenue actually declines and the SLB engine reverses. Mature names carry no within-scenario failure probability, so the value is the levered DCF floored at zero.

WHAT HAPPENS

The deepest tail: a real recession compresses discretionary luxury-fitness spend, so memberships and revenue do not merely decelerate (the bear) but decline — revenue shrinks at a low-single-digit rate through FY30 and the FCF margin erodes toward the low single digits.

The sale-leaseback tap closes faster and on worse terms in a downturn: less real-estate value is realized (~$0.55B over five years vs the bear's ~$0.95B) while the rent obligations from prior SLBs keep compounding against a shrinking revenue base — the capital-recycling engine runs in reverse.

BEAR $0.00

-100.0% vs spot

Probability 12%

Capital recycling, not earnings.

WHY 12%

Bearish thesis is structurally coherent: LTH's headline FCF is dependent on SLB proceeds (~$400M/yr); strip those out and operating FCF is barely positive. Cumulative SLB program is finite (~$2B remaining); each SLB trades one-time cash for permanent rent increase. Net debt + capitalized lease obligations near $4B. If macro slows and luxury fitness spend compresses, FCF margin drops, stock works to ~$0. The 12% weight reflects that this thesis bumps against LTH's actual track record: FY24/25 execution strong, recent S&P upgrade validates the credit story, and new luxury club economics ($25-35M revenue vs $15-20M legacy) genuinely change the unit math.

WHAT HAPPENS

The pessimistic case is straightforward. LTH only delivers 'positive FCF' after $400M/year of sale-leaseback proceeds. Strip those out and operating FCF is barely positive — FY25 OCF $870M minus capex ~$870M equals zero before SLB. The reported $206M FY25 FCF is essentially $400M of real estate proceeds offset against expansion capex. This is capital recycling reported as cash generation.

The SLB program is finite. LTH has ~190 clubs, of which perhaps 40-50 remain owned outright after cumulative SLB transactions. At $40M average per club, that's roughly $2B of remaining real estate runway. At the planned $400M/year pace, the tap closes in 4-5 years — exactly the DCF horizon. Meanwhile rent obligations from prior SLBs (~$300M/yr and growing) compound — every SLB trades a one-time cash inflow for a permanent operating expense increase.

BASE $13.96

-65.8% vs spot

Probability 55%

Premium platform, leveraged structure.

WHY 55%

Modal outcome. LTH executes guidance: revenue grows 11% FY26, decelerating to mid-single-digits. EBITDA margin holds 28-30% (top quartile for consumer services). New 2026 club openings (1.2M sq ft, mostly luxury) mature over 3-4 years. SLB cadence holds for 2-3 more years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target. The 55% weight reflects that this requires the least faith — sequential execution on plans already in motion. The base case is well-run but priced for steady-state execution; the multiple stays compressed.

WHAT HAPPENS

The middle path takes LTH's recent execution at face value. Revenue grows 11% in FY26 per guidance, decelerating to mid-single-digits as the base builds. Adjusted EBITDA margin holds in the 28-30% range — top quartile for consumer services. Average revenue per membership grows from $3,531 toward $4,000 as new luxury clubs ramp at higher price points.

New club economics are unique: 1.2M sq ft of 2026 openings is concentrated in resort-style luxury formats generating $25-35M annual revenue at maturity vs $15-20M for legacy. Maturation takes 3-4 years; 2026 openings contribute meaningfully only by 2028-29. SLB cadence holds at $300-400M for 2-3 years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target.

BULL $45.00

+10.4% vs spot

Probability 20%

Luxury wellness platform compounds.

WHY 20%

Multi-decade luxury wellness platform compounding. LTH is genuinely a category-of-one — no other US operator at premium luxury athletic country club scale (Equinox is private and smaller; gym chains are budget-positioned; boutique concepts are single-discipline). In-center revenue (Dynamic PT, MIORA hormone optimization, swim lessons, pickleball clinics, spa, cafe) compounds faster than dues. EBITDA margin expands toward 30%+ as new-club mix shifts to higher-revenue luxury formats. The SLB flywheel sustains: 12-14 new luxury clubs/year become future SLB inventory 5-7 years later. The 25% weight reflects that multiple expansion (18x P/E to 22-25x) is plausible but requires both execution AND market re-rating — the conjunction is demanding.

WHAT HAPPENS

The bull case is that Life Time is a category of one. There is no other US operator at the premium luxury athletic country club scale — Equinox is private and smaller, gym chains are budget-positioned, boutique concepts are single-discipline. LTH's 'Country Club' positioning combines fitness, racquet sports, kids, pools, dining, work-from-club spaces, and recovery in a single membership.

In-center revenue compounds faster than membership dues — Dynamic Personal Training, swim lessons, pickleball clinics, MIORA hormone optimization, Life Spa, Life Cafe. In-center revenue per member grows from $1,050 toward $1,400-1,500. SLB program sustains: as LTH opens 12-14 new luxury clubs/year, each becomes future SLB inventory 5-7 years later. The flywheel: build → operate → SLB → recycle.

ULTRA BULL $95.14

+133.4% vs spot

Probability 5%

Luxury category-of-one; 15x re-rate.

WHY 5%

Joint conditional: 250+ clubs by 2030 (40%) AND ARPU $6,500+ achieved via medspa/recovery upsell (50% conditional on club growth) AND SLB self-funded with bank capital (60%) AND multiple expansion to 15x EV/EBITDA (50%). Joint at 4-6%, reflected here at 5%. Tail of tails: LTH stops being a 'leveraged real estate compounder' and becomes a 'luxury wellness software-like compounder.'

WHAT HAPPENS

The ultra-bull case is that LTH compounds as the dominant luxury wellness platform AND the market re-rates. Network grows 191 → 250 clubs by 2030 at 15+ new clubs/year (vs 12-14 base). Average member spend rises from $4,500 to $6,500 annually as ultra-luxury services (medspa, nutrition science, recovery) drive ARPU. SLB program self-funds at 6% cap rate with bank financing. EBITDA grows to $1.5B+ by 2030.

Multiple expands from 10x EV/EBITDA (today) to 15x as growth story consolidates and capital structure de-risks. Result: $23.7B EV - $1.3B net debt = $22.4B equity ÷ 235M FY30 shares = $95/share. The ultra-bull case requires BOTH operational excellence AND multiple re-rating — most LTH bulls only price one of these.

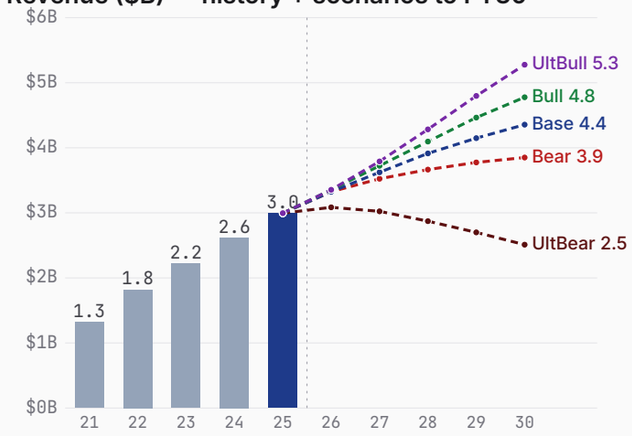
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Life Time Group Holdings business snapshot

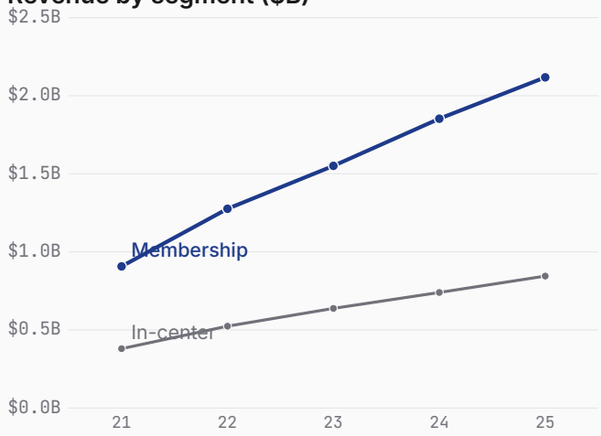
Bear $0.00 Base $13.96 Bull $45.00

FY23–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, S&P credit reports

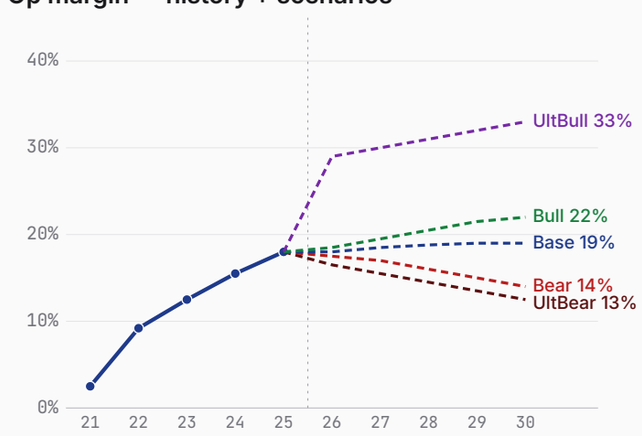
Revenue ($B) — history + scenarios to FY30



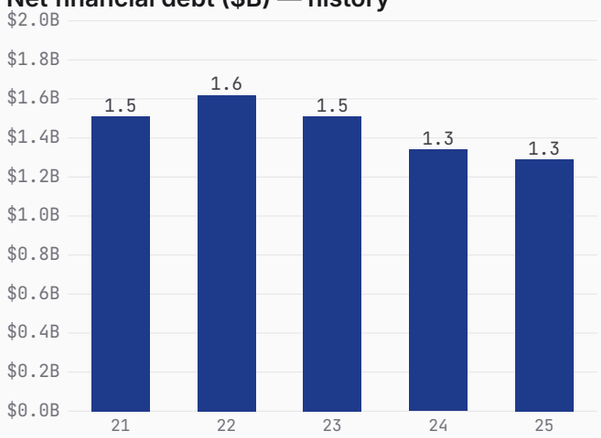
Revenue by segment ($B)



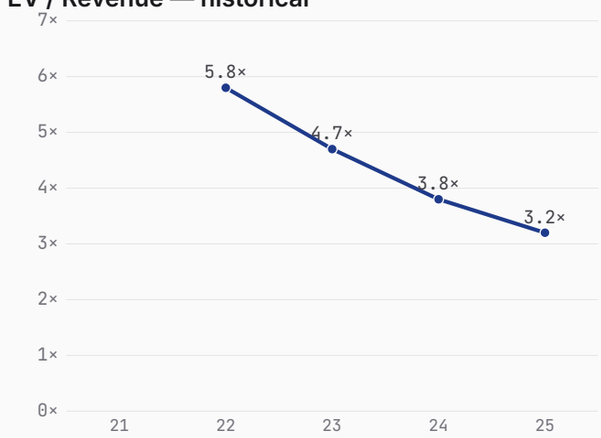
Op margin — history + scenarios



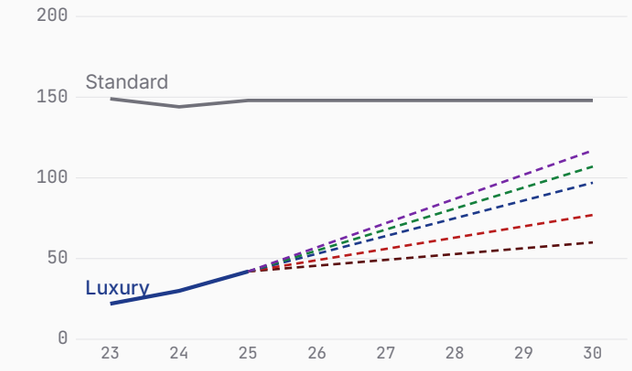
Net financial debt ($B) — history



EV / Revenue — historical



Club count — Luxury vs Standard



Sources: LTH 10-K FY25, Q1 2026 10-Q, S&P / Moody's credit reports, REIT comparables for SLB cap rates.

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Life Time Group Holdings 7 Powers · the moat, scored

Bear $0.00 Base $13.96 Bull $45.00

Arena. Premium health-and-wellness clubs — Life Time vs Equinox (urban premium), boutique studios (Xponential et al.), value gyms (Planet Fitness), and at-home fitness.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	Large-format clubs + real-estate scale spread fixed cost; ancillary revenue (spa, cafe, work).
Network Economies	Member community/events create some stickiness; not a true network.
Counter-Positioning	Premium 'athletic country club' big-box that mass-market and boutiques can't straddle.
Switching Costs	Family memberships, onboarding, community and locker inertia.
Branding · thesis leans here	The premium destination brand in big-box fitness.
Cornered Resource	Prime, large-footprint real-estate locations that are hard to replicate.
Process Power	Club operating model + ancillary-revenue playbook honed over years.

PEER SET

Equinox — 6% gr · private
Urban ultra-premium; overlaps at the top end.

Planet Fitness — 10% gr · 36% mgn · ~20x EV/EBITDA
Mass-market low-price; a different segment, but caps pricing power below.

Boutique studios (Xponential) — 8% gr · 20% mgn · ~8x
Fragmented, asset-light franchising; cherry-picks modalities.

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Equinox + boutiques
falsifier: Same-club revenue growth < 5% for 2 consecutive years while membership churn climbs above 35%.

Switching Costs · Macro down-trade / at-home
falsifier: Dues-paying membership declines YoY in a non-recession year.

COMPETITIVE READ

A durable premium brand plus prime-real-estate moat that underwrites the DCF's terminal economics; the live risks are macro down-trade and Equinox at the top end — same-club revenue and churn are the erosion gauges.

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Life Time Group Holdings show your work

Bear $0.00 Base $13.96 Bull $45.00 · Weighted $21.44 (-47.4%)

ULTRA BEAR $0.00

ASSUMPTIONS

5y revenue CAGR (%)	-3.4
Year-5 op margin (%)	12.5
WACC (%)	11.5
Terminal growth (%)	1.0
5y SLB total ($B)	0.55
Starting revenue ($B)	3.00
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.08	+17%	+0.12	+0.11
FY27	3.02	+16%	+0.10	+0.08
FY28	2.87	+14%	+0.09	+0.06
FY29	2.70	+14%	+0.07	+0.04
FY30	2.51	+13%	+0.05	+0.03

Σ PV explicit FCF	+0.32
+ PV terminal (g 1.0%)	0.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.60B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$-0.69B
FY30 shares (M)	222
= Expected per share	**$0.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.00	$0.00	$0.00	$0.00
0.00×	0.00×	0.00×	0.00×

BEAR $0.00

ASSUMPTIONS

5y revenue CAGR (%)	+5.1
Year-5 op margin (%)	14.0
WACC (%)	11.0
Terminal growth (%)	1.5
5y SLB total ($B)	0.95
Starting revenue ($B)	3.00
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.13	+0.12
FY27	3.52	+17%	+0.18	+0.14
FY28	3.66	+16%	+0.15	+0.11
FY29	3.77	+15%	+0.11	+0.07
FY30	3.85	+14%	+0.08	+0.05

Σ PV explicit FCF	+0.49
+ PV terminal (g 1.5%)	0.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.98B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$-0.31B
FY30 shares (M)	222
= Expected per share	**$0.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.00	$0.00	$0.00	$0.00
0.00×	0.00×	0.00×	0.00×

BASE $13.96

ASSUMPTIONS

5y revenue CAGR (%)	+7.8
Year-5 op margin (%)	19.0
WACC (%)	9.5
Terminal growth (%)	2.5
5y SLB total ($B)	1.70
Starting revenue ($B)	3.00
Scenario probability (%)	55

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.23	+0.21
FY27	3.62	+19%	+0.29	+0.24
FY28	3.91	+19%	+0.31	+0.24
FY29	4.15	+19%	+0.33	+0.23
FY30	4.36	+19%	+0.35	+0.22

Σ PV explicit FCF	+1.14
+ PV terminal (g 2.5%)	3.24

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.39B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$3.10B
FY30 shares (M)	222
= Expected per share	**$13.96**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$21.98	$34.60	$54.46	$85.74
0.54×	0.85×	1.34×	2.10×

BULL $45.00

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	22.0
WACC (%)	8.0
Terminal growth (%)	3.0
5y SLB total ($B)	2.00
Starting revenue ($B)	3.00
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.35	+19%	+0.30	+0.28
FY27	3.72	+20%	+0.41	+0.35
FY28	4.10	+21%	+0.49	+0.39
FY29	4.46	+22%	+0.58	+0.43
FY30	4.78	+22%	+0.67	+0.46

Σ PV explicit FCF	+1.90
+ PV terminal (g 3.0%)	9.38

EQUITY BUILD · $B & PER SHARE

Operating EV	$11.28B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$9.99B
FY30 shares (M)	222
= Expected per share	**$45.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$66.12	$97.15	$142.75	$209.74
1.62×	2.38×	3.50×	5.15×

ULTRA BULL $95.14

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	33.0
WACC (%)	7.5
Terminal growth (%)	3.5
5y SLB total ($B)	3.00
Starting revenue ($B)	3.00
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.36	+29%	+0.35	+0.33
FY27	3.80	+30%	+0.50	+0.43
FY28	4.29	+31%	+0.70	+0.56
FY29	4.81	+32%	+0.90	+0.67
FY30	5.29	+33%	+1.10	+0.76

Σ PV explicit FCF	+2.75
+ PV terminal (g 3.5%)	20.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$23.65B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$22.36B
FY30 shares (M)	235
= Expected per share	**$95.14**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$136.59	$196.09	$281.51	$404.14
3.35×	4.81×	6.91×	9.92×

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Life Time Group Holdings People · Opportunity · Context · Deal

Bear $0.00 Base $13.96 Bull $45.00

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Bahram Akradi · `founder-led` 30 yrs in seat

7.3%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Founder Bahram Akradi is Chairman, President and CEO (leading since the 1990s). The post-LBO story is deleveraging — net leverage cut to ~1.6x (from ~2.3x) — funded by operating cash flow and a recurring sale-leaseback real-estate strategy, against heavy new-club capex. Capital return just began: a first-ever $500M buyback (early 2026), no dividend. The PE sponsors (Leonard Green, TPG) that took the company private in 2015 are selling down.

Incentive alignment
Akradi's steady-state pay is modest (~$6.3M FY2024); the headline ~$218M for 2025 was a one-time exercise of 2015 legacy options, not run-rate, and he net-accumulated shares. He owns ~7.3%. The persistent flag is a related-party real-estate web — Life Time leases multiple properties from Akradi-affiliated entities ($0.8-2.6M/yr each) and historically forgave a $17.7M loan to him — with audit-committee oversight.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no founder super-voting; Akradi's ~7.3% economic stake equals his vote
- controlled-company status ENDED (June 2025) as the sponsor "Voting Group" fell below 50%; Leonard Green retains one board-nomination right, TPG/Partners Group none
- founder concentration — Akradi holds all three of Chairman, President and CEO; he also chairs another public company (Northern Oil & Gas)
- the lead independent director (Danhakl) is the managing partner of lead sponsor Leonard Green — an independence caveat; board is ~10 of 12-13 independent
- classified / staggered board (three classes), plus a recurring related-party real-estate web (Akradi-affiliated leases / sale-leasebacks) under audit-committee oversight

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
`-47.4% vs spot $40.76`

> **PEOPLE READ**
> The positives are real for a founder-led, post-LBO name: single-class one-vote (no super-voting; the founder owns just ~7.3%), controlled-company status already ended, deleveraging done, and a first buyback. Holding it at 3 are the concentration of all three top titles in Akradi, a lead independent director who is the lead sponsor's managing partner, a classified board, and — most of all — a persistent related-party real-estate web (Akradi-affiliated leases and a historical loan forgiveness). Key-person risk is moderate.

Life Time Group Holdings supporting analysis · disclaimers · glossary

Bear $0.00 Base $13.96 Bull $45.00

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Track record is strong.**
FY24-25 execution delivered guidance; S&P upgrade validates credit. Removes the leveraged-real-estate-vehicle framing.

2 **New club economics shift mix.**
1.2M sq ft of 2026 luxury openings generate $25-35M revenue vs $15-20M legacy. Unit economics improving, not deteriorating.

3 **Category-of-one positioning.**
No US operator at LTH's premium luxury athletic country club scale. Equinox private + smaller; gym chains budget; boutiques single-discipline.

4 **In-center monetization compounds.**
Dynamic PT, MIORA, pickleball, spa, cafe — in-center revenue per member growing from $1,050 toward $1,400-1,500. High-margin, recurring.

5 **SLB flywheel sustains.**
New clubs become future SLB inventory in 5-7 years. Cadence of $400M/yr can persist as long as new construction continues.

FALSIFICATION TRIGGERS

Bear validation

FY27 revenue growth < 5% · SLB cadence < $300M/yr · Net debt / EBITDA > 2.5x · Credit rating downgraded below BB-

Bull validation

FY27 revenue growth > 9% · EBITDA margin > 30% · In-center revenue per member > $1,250 · P/E multiple expands above 18x

Reframe needed

If Equinox or comparable luxury operator IPOs at premium multiple — establishes valuation comparable for LTH multiple expansion

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

SLB — Sale-leaseback. LTH sells owned club property to a REIT and leases it back. Converts capital to liquidity; adds permanent rent.

MIORA — Hormone optimization and longevity service line. New higher-margin in-center revenue category, central to the bull ARPU thesis.

Athletic Country Club — LTH's positioning — luxury multi-discipline format combining fitness, racquet sports, pools, kids, dining and recovery.

In-center revenue — Revenue beyond membership dues: PT, classes, spa, cafe, retail. Currently ~30% of total; compounds faster than dues.

Dynamic PT — Personalized training program. Highest-margin in-center revenue stream and a key ARPU driver as the luxury mix grows.

Lease-adjusted leverage — Per ASC 842, capitalized operating lease liabilities included in total obligations. Adds ~$2.5B+ to $1.29B net debt.